

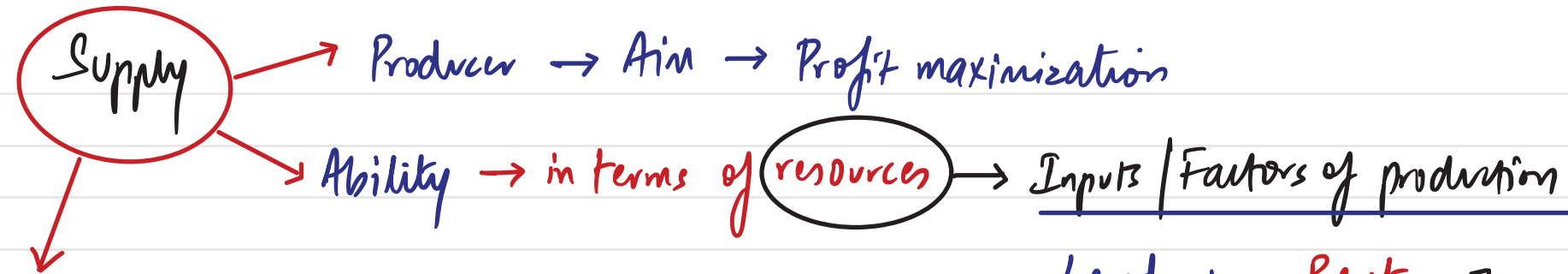
Level economics

Chp: Demand and Supply

Topic:- Introduction to Supply

alpha

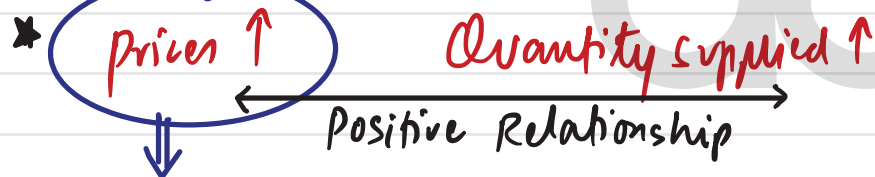
Zarak  
Mustafa



|               |          |            |
|---------------|----------|------------|
| Land :-       | Rent     | } payments |
| Labour :-     | wages    |            |
| Capital :-    | interest |            |
| Enterprise :- | profit   |            |

Note:- Supply represents the willingness and ability of a producer to produce goods and services.

### Law of supply



selling more units at higher price  
↑  
to the producer  
↑

Reason:- Demand ↑ → Shortage → Prices ↑ → signal → Quantity supplied ↑

e.g. Advertising  
e.g. Incomes ↑

↓  
Consumer ready to pay high price

↓  
Total revenue ↑

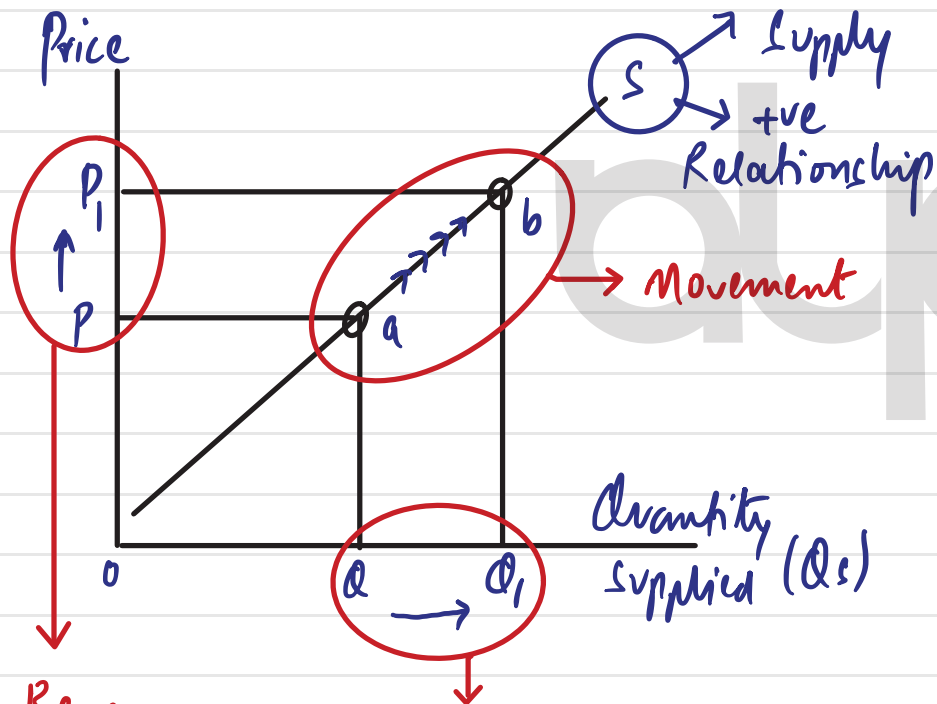


consumers are not ready to pay high  
↑  
e.g. Advertising fails  
e.g. Income ↓

Reason :- Demand ↓ ⇒ Less units will be sold at lower price

Note:- Law of Supply states that there is a positive relationship between price and quantity supplied. An increase in price extends quantity supplied and a decrease in price contracts quantity supplied.

### Diagram (Supply curve)



Reason:  
Demand ↑  
Shortage  
Price ↑ (Signal)  
QS ↑

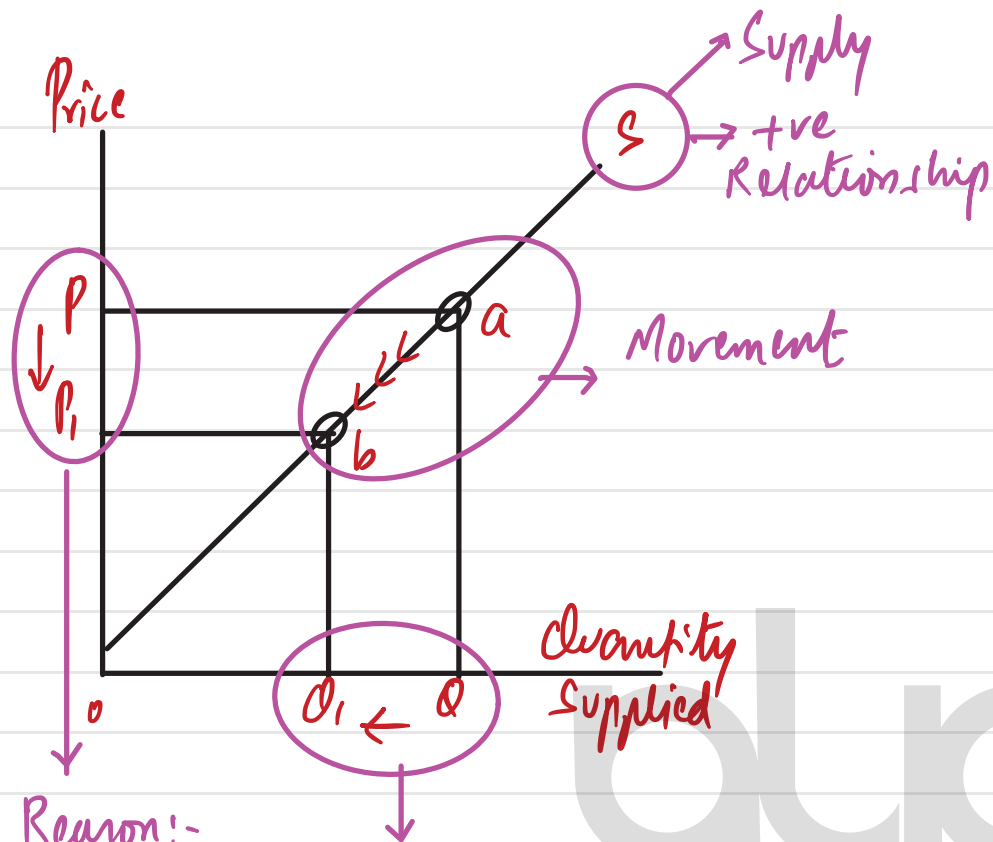
Extension

Old TR :-  $OPaQ$   
New TR :-  $OP_1bQ_1$  TR ↑

Note:- An increase in price from  $P$  to  $P_1$  due to increase in demand, which creates shortage, providing signal to the producer to extend quantity supplied from  $Q$  to  $Q_1$ , causing movement along the supply curve from point  $a$  to  $b$ .

Steps:-

- |                      |           |
|----------------------|-----------|
| 1) Price             | $P - P_1$ |
| 2) Quantity supplied | $Q - Q_1$ |
| 3) Movement          | $a - b$   |



Note:- A decrease in price from  $P$  to  $P_1$  due to decrease in demand creates surplus, which provides signal to the producer to contract quantity supplied from  $Q$  to  $Q_1$ , and thus resulting in movement along the supply curve from point  $a$  to  $b$ .

Steps:-

- 1) Price  $P - P_1$
- 2) Quantity supplied  $Q - Q_1$
- 3) Movement  $a - b$

Reason:-  
Demand ↓

Surplus

Prices ↓

QS ↓

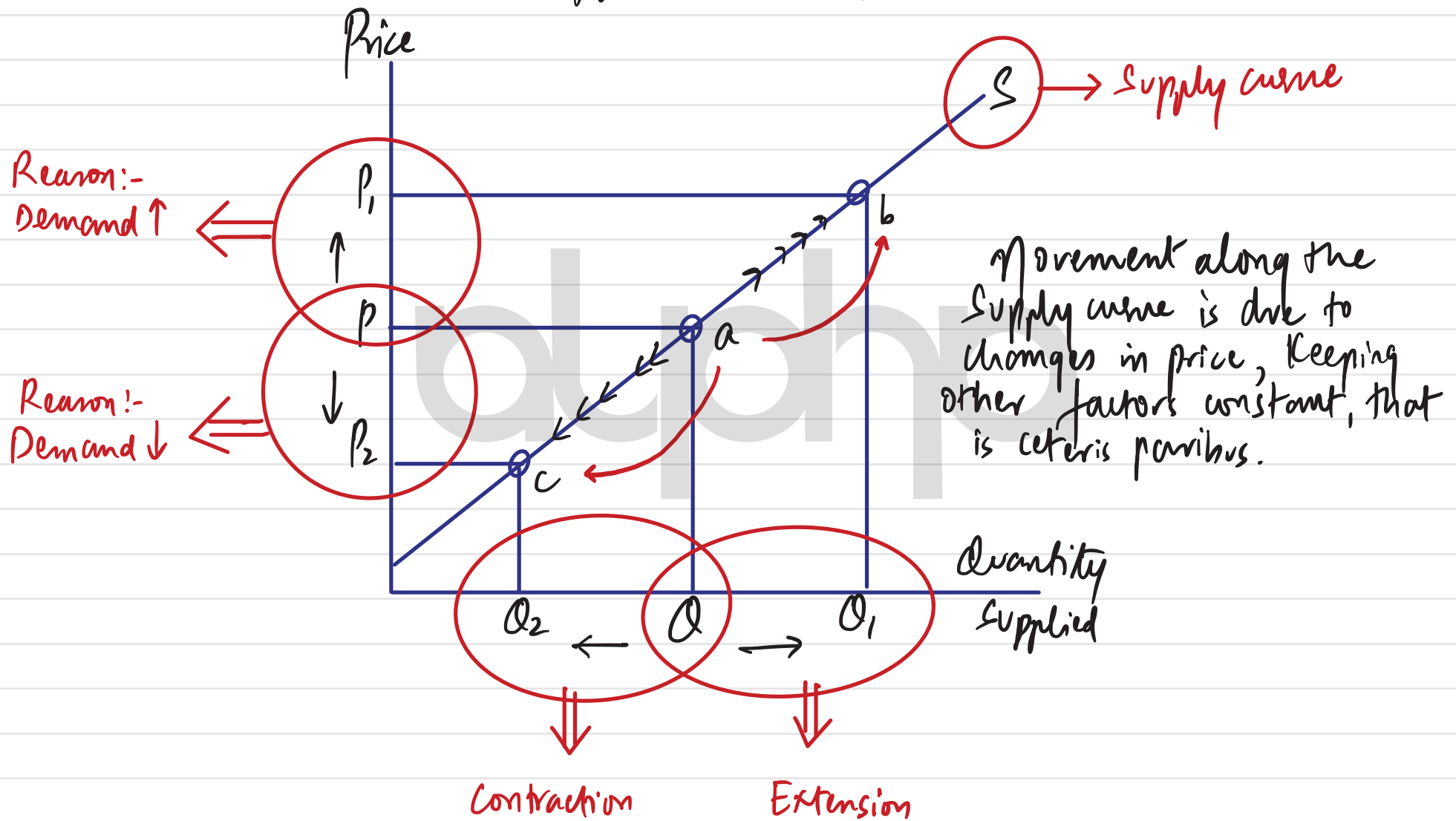
TR ↓

Old TR:-  $OPaQ$   
New TR:-  $OP_1bQ_1$   
TR ↓

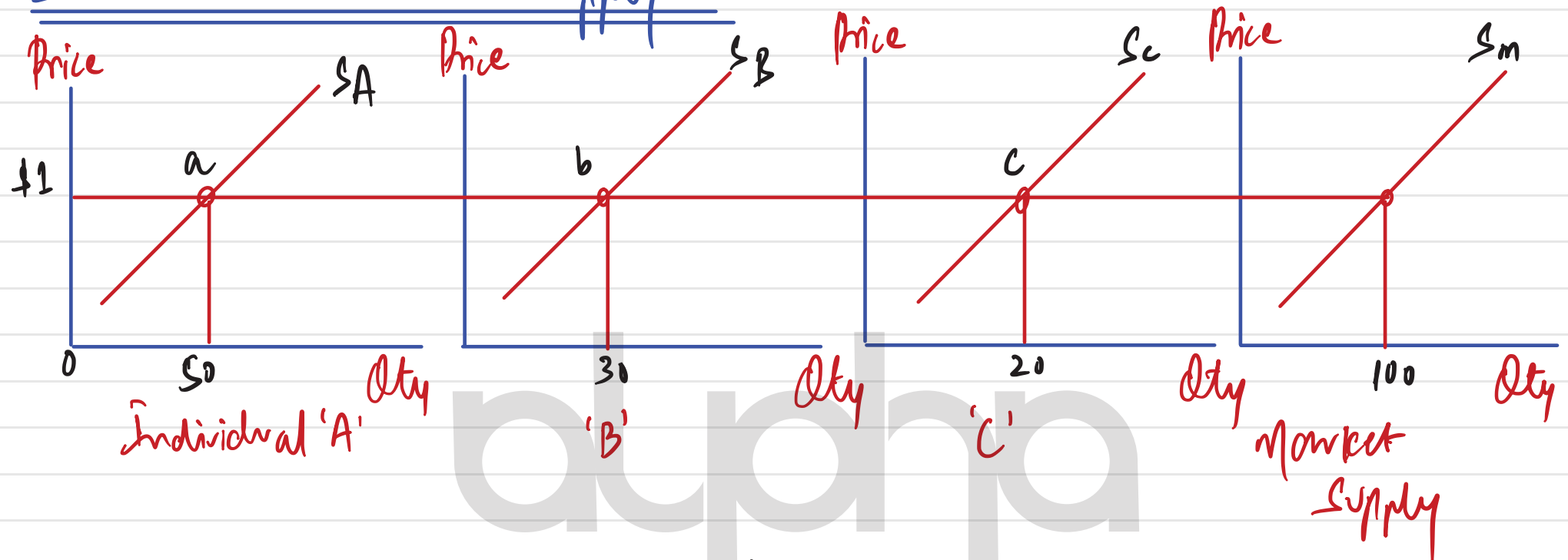
Contraction

\* Adam Smith's invisible hand !

## Changes in price affects quantity supplied



## Individual and market Supply



Market Supply :- Horizontal summation of all individual supply curve  
(Summation / aggregation)

## Questions

Marks: 18

Q1 Define supply? 2

Q2 Explain law of supply? 4

Q3 Using a diagram, explain the effect of increase in price on quantity supplied? 6

Q4 Using a diagram, explain the effect of decrease in price on quantity supplied? 6